FUND ACCOUNTING INTERVIEW – COMPLETE QUESTIONS & ANSWERS

========== INTRODUCTION ==========

1. Introduce Yourself

I am a finance graduate with strong knowledge of accounting, fund accounting concepts, financial markets and derivatives. I have experience in reconciliations, NAV concepts, journal entries and financial statement analysis. I am keen to build my career in fund accounting and contribute to accuracy, compliance and timely reporting.

========== FINANCIAL MARKETS ==========

2. What are Bonds?

Bonds are fixed-income instruments issued by governments or corporates to raise funds. Investors receive periodic interest (coupon) and principal at maturity.

3. What is Zero Coupon Bond?

A bond issued at a discount with no periodic interest. Return is the difference between issue price and maturity value.

4. What is YTM?

Yield to Maturity is the total return expected if the bond is held till maturity.

5. Repo Rate impact on Bonds

When repo rate increases, bond prices fall. When repo rate decreases, bond prices rise.

========== EQUITY & ISSUES ==========

6. What is Equity?

Equity represents ownership in a company with voting rights and residual claim on profits.

7. Rights Issue

Offer of new shares to existing shareholders at discounted price in proportion to holdings.

8. Bonus Issue

Free shares issued from reserves to existing shareholders.

Journal Entry:

Reserves A/c Dr

To Share Capital A/c

9. IPO

Company offering shares to public for first time.

========== PREFERENCE SHARES ==========

10. Preference Shares

Shares with fixed dividend and priority over equity in dividend and capital repayment.

========== DERIVATIVES ==========

11. What are Derivatives?

Financial instruments whose value depends on underlying asset.

Types:

Futures, Options, Swaps, Forwards

12. Options

Right but not obligation to buy/sell asset at fixed price.

13. Swaps

Interest rate swap, Currency swap, Credit default swap.

14. Credit Default Swap

Insurance against default of borrower.

========== HEDGE FUNDS ==========

15. Hedge Fund

Private investment fund using advanced strategies to generate absolute returns.

16. Hedge Fund vs Mutual Fund

Hedge funds use leverage, derivatives, short selling. Mutual funds are regulated and conservative.

17. Hedge Fund Structures

Standalone fund, Master-Feeder, Fund of Funds.

18. Strategy as Hedge Fund Manager

Diversification, hedging, risk control, alpha generation.

========== FEES ==========

19. Management Fee

Charged as percentage of AUM.

20. Performance Fee

Charged on profits.

21. High Watermark

Performance fee charged only if NAV exceeds previous highest NAV.

22. Hurdle Rate

Minimum return before performance fee.

23. Clawback

Return of excess performance fee if losses occur later.

========== FUND ACCOUNTING ==========

24. NAV

Assets – Liabilities = NAV

25. Drawdown

Capital called from investors.

26. Accrued Interest

Interest earned but not yet received.

27. Reconciliation

Comparing internal records with external statements to identify differences.

========== ACCOUNTING BASICS ==========

28. Golden Rules

Personal: Debit receiver, Credit giver

Real: Debit what comes in, Credit what goes out

Nominal: Debit expenses, Credit income

29. IFRS vs GAAP

IFRS is principle-based, GAAP is rule-based.

========== JOURNAL ENTRIES ==========

Insurance Premium paid in advance:

At payment:

Prepaid Insurance Dr

To Bank

Monthly adjustment:

Insurance Expense Dr

To Prepaid Insurance

Purchase of Land & Building:

Land Dr

Building Dr

To Cash

To Creditors

Outstanding Salary:

Salary Expense Dr

To Outstanding Salary

Prepaid Expense:

Prepaid Expense Dr

To Expense

Dividend Received:

Bank Dr

To Dividend Income

Rights Issue:

Bank Dr

To Share Capital

Accounts Receivable:

Debtors

Accounts Payable:

Creditors

Share Purchased T+2:

Investment Dr

To Broker

Depreciation:

Depreciation Expense Dr

To Accumulated Depreciation

Amortization:

Amortization Expense Dr

To Intangible Asset

========== FINANCIAL STATEMENTS ==========

Cash Flow Statement

Shows operating, investing and financing cash flows.

Fund Flow

Shows movement of working capital.

Balance Sheet Adjustment

Accruals, depreciation, provisions.

P&L; Adjustment

Expenses, income, depreciation, provisions.

Retained Earnings

Profit accumulated after dividends.

========== RATIOS ==========

P/E Ratio = Market Price / EPS

EPS = Profit / Number of shares

IRR = Discount rate at which NPV = 0

========== CORPORATE ACTIONS ==========

Bonus, Rights, Dividend, Split, Merger

========== RISK MANAGEMENT ==========

Types:
Market risk, Credit risk, Liquidity risk, Operational risk

========== TLC ==========

Trade Life Cycle:
Order → Execution → Confirmation → Settlement → Accounting

========== END ==========

Prepared for Fund Accounting Interviews